For anyone above the age of 40 will take advantage of this Rs. 50,000 additional benefit that is being offered as tax savings. We saw that we want to manage a part of retirement funds on our own and another part with the government. The part that we manage will make sure we earn higher returns and the one with the government will ensure safety, stability and discipline. So, we will invest Rs. 50,000 in NPS and anything beyond this will be managed on our own using retirement funds, mutual funds and other assets.

When investing in NPS, we would need to select a class of assets that we want our money to be invested in. So, between age 40 and 50, we will invest the maximum i.e. 50% of our money in E-class and rest in C-class and G-class. Between 50 to 60, we will gradually decrease our share in E-class. By age 55, we will want 80% of our assets in C-class and G-class.

So, this is how we deal with NPS and the deductions the taxing authority has to offer for the same. We have planned for 80C and all its deductions.

AGE / ASSET CLASS	BELOW 40	40-45	50-60
E-CLASS	DO NOT INVEST IN NPS	50%	GRADUALLY DECREASE SHARE IN E- CLASS
C-CLASS & G-CLASS		50%	BY THE AGE OF 55, 80 % OF ASSETS IN C & G CLASS

ONLY RS.50,000 WILL BE INVESTED IN NPS. REST WILL GO TO OTHER ASSETS